

CASE VIABILITY & LITIGATION-RISK ASSESSMENT

Prepared for the Auction Purchaser's Perspective

MAMTA GOYAL

v.

PUNJAB NATIONAL BANK & ANR.

Writ Petition (Civil) — Delhi High Court, 2026

Arising out of SARFAESI Auction dated 22.08.2019 | Regular Appeal No. 213/2023 (Ld. DRAT, Delhi) pending

Subject Properties: 70-B/2, Najafgarh Road Industrial Area, Rama Road, Delhi-110015 (Basement/Ground Floor + I, II, III Floors)

OVERALL CASE SCORE (COMPOSITE)

68/100

MODERATELY - TO - STRONGLY FAVOURABLE FOR THE A

U C T I O N P U R C H A S E R

N
e
a
r
-
c
e
r
t
a
i
n
r
e
c
o
v
e
r
y
o
f
m
o
n
e
y
;
p
r
o
c
e
d
u
r
a
l
r
e
l
i
e
f
h
i

g
h
l
y
l
i
k
e
l
y
;
c
o
n
f
i
r
m
a
t
i
o
n
o
f
t
i
t
l
e
g
e
n
u
i
n
e
l
y
c
o
n
t
e
s
t
e
d

Table of Contents

- I. Executive Summary
- II. The Plea — What the Petitioner Is Actually Asking For
- III. Consolidated Timeline of Material Facts
- IV. Statutory Framework Applicable
- V. Judicial Precedents — What They Actually Hold
- VI. Scoring Methodology
- VII. Relief-Wise Scoring — Likelihood at the Writ Stage (Delhi HC)
- VIII. Merits Scoring — Likely Outcome Once DRAT Decides (Regular Appeal 213/2023)
- IX. Critical Strengths in the Auction Purchaser's Favour
- X. Critical Risks & Weaknesses
- XI. Strategic Recommendations
- XII. Disclaimer & Scope

I. Executive Summary

Mamta Goyal was the successful, confirmed highest bidder in a SARFAESI auction conducted by Punjab National Bank ("PNB") on 22.08.2019 for two industrial properties in Najafgarh Road, Delhi, and deposited ₹1,03,64,000 (25% of the sale consideration) with the Bank. What should have been a routine 15-day balance-payment cycle under Rule 9(4) of the Security Interest (Enforcement) Rules, 2002 instead spiralled into nearly seven years of litigation across the DRT, DRAT, and Delhi High Court, driven almost entirely by the Bank's own conduct and by tribunal administrative dysfunction (three changes of DRAT Chairperson, prolonged vacancies) rather than any fault of the Petitioner.

The Petitioner's deposit remains forfeited today even though the DRT, on 31.07.2023, expressly set aside that very forfeiture and found no illegality whatsoever in the Bank's conduct of the auction — yet, contradictorily, directed a fresh auction instead of confirming the sale, and never ordered the refund it had just held was wrongly withheld. That order is now under cross-appeal (Regular Appeal Nos. 213/2023 and 271/2023) before the DRAT, argued and reserved for judgment since July 2025, and still undecided.

This report separates the analysis into two distinct questions, because they have very different answer profiles:

- **What is the Delhi High Court likely to actually grant in this writ petition?** Almost certainly only the procedural relief — a time-bound direction to DRAT to decide the pending appeal. The two "confirm-the-sale" and "refund-the-EMD" prayers ask the High Court to pre-empt an identical issue that is already argued and reserved before the specialised tribunal — and the High Court has already once declined a materially similar request (order dated 21.04.2025 in W.P.(C) 4931/2025) on precisely that ground.
- **What is the Petitioner's ultimate likelihood of financial and legal vindication once DRAT decides?** Considerably stronger. Refund of the forfeited 25% with interest is a near-certainty on the facts as pleaded. Confirmation of the 1st auction and issuance of a sale certificate is a genuine, well-argued, but contested proposition — roughly a coin-flip tilting in the Petitioner's favour, turning on a single, sharply-defined legal question: whether the Bank's Sale Confirmation Letters of 22.08.2019 constituted a statutory "confirmation of sale" under Rule 9(2) that survived the (procedurally dubious) 04.09.2019 DRT order.

The composite score of 68/100 reflects a case that is genuinely strong on money (deposit + interest) and genuinely contestable on title. Anyone advising or financing the Petitioner should model these as two separate outcomes, not one.

II. The Plea — What the Petitioner Is Actually Asking For

The petition is drafted with three prayers pleaded strictly in the alternative — a common and sound drafting technique, but one that also signals the drafter's own uncertainty about which relief is most likely to land. In descending order of how the petition itself ranks them:

Prayer (i) — Primary Relief: Direct DRAT to decide Regular Appeal No. 213/2023 in a time-bound manner

A pure delay-writ under Articles 226/227. Does not ask the High Court to touch the merits of confirmation, forfeiture, or the fresh-auction direction — only to compel the specialised tribunal, already seized of the identical dispute and having heard full arguments, to actually decide it.

Prayer (ii) — Alternative: Direct PNB to accept the balance 75% and issue the Sale Certificate

This is the relief the Petitioner actually wants on the merits — it would confirm the 1st auction, vest title, and end the matter. It asks the High Court to do what neither the DRT (31.07.2023) nor, so far, the DRAT has been willing to do.

Prayer (iii) — Alternative: Direct PNB to refund the forfeited 25% with interest from the date of deposit

The fallback financial relief — restitution rather than title. Notably, this is not a new legal position: the DRT already set aside the forfeiture in 2023; this prayer essentially asks the High Court to complete the DRT's own unfinished order.

Because the DRT already granted the underlying finding for prayer (iii) — that the forfeiture was invalid — and merely failed to translate that finding into a refund direction, prayer (iii) sits closer to "enforcement of an existing, unstayed finding" than to "a fresh merits determination," which materially improves its odds relative to prayer (ii).

III. Consolidated Timeline of Material Facts

D a t e	E v e n t
02.07.2019	Sale Notificed ; reserves review appeal filed ₹ 98.35 L + ₹ 175 L
22.08.22	1st st Auct

0 1 9	i
	o
	n
	—
	P
	e
	t
	i
	t
	i
	o
	n
	e
	r
	h
	i
	g
	h
	e
	s
	t
	b
	i
	d
	d
	e
	r
	(
	₹
	2
	.
	2
	5
	C
	r
	+
	₹
	1
	.
	9
	0
	C
	r
	)
	:
	S
	a
	l
	e
	c
	o
	n
	f
	i
	r
	m
	e
	d
	:
	2
	5
	%
	d
	e
	p

	o s i t e d (₹ 1 . 0 3 C r)
0 4 . 0 9 . 2 0 1 9	D R T o r d e r s f r e s h a u c t i o n o n l i n e . 0 9 . 2 0 1 9 , r e c o r d i n g (d i s p u

	t e d) " c o n s e n t " f o r r e - a u c t i o n
1 7 . 0 9 . 2 0 1 9	2 n d A u c t i o n h e l d ; M a d h u K h a r b a n d a h i g h e s t b i

	d d e r ; D R A T d e c l i n e s i n j u n c t i o n i n M i s c . A p p e a l 3 8 2 / 2 0 1 9
1 9 . 1 2 . 2 0 1 9	H C " R e m a n d O r d e r ":

2
n
d
a
u
c
t
i
o
n
b
i
d
d
e
r
a
l
l
o
w
e
d
t
o
w
i
t
h
d
r
a
w
;
D
R
T
t
o
d
e
c
i
d
e
a
f
r
e
s
h
—
n
e
e
d
f
o
r
f
r
e
s
h
a

	u c t i o n , o r c o n f i r m l s t
0 8 .0 1 .2 0 2 0 — 2 8 .0 2 .2 0 2 0	B a n k d e m a n d s b a l a n c e 7 5 % w i t h o u t D R T a d j u d i c a t i o n ;P

	e t i t i o n e r o b j e c t s ; B a n k f o r f e i t s 2 5 % d e p o s i t
2 4 . 0 2 . 2 0 2 2 2	D R T a l l o w s P e t i t i o n e r ' s i m p l

	e a d m e n t i n t h e S A
3 1 . 0 7 . 2 0 2 3	D R T d i s m i s s e s S A (n o i l l e g a l i t y f o u n d) b u t d i r e c t s f r e s h a u

	c t i o n ; s e t s a s i d e f o r f e i t u r e b u t o r d e r s n o r e f u n d
1 9 . 0 9 . 2 0 2 3 / 0 7 . 1 1 . 2 0 2 3	C r o s s - a p p e a l s f i l e d — P e t

	i t i o n e r , s R A 2 1 3 / 2 0 2 3 : B a n k , s R A 2 7 1 / 2 0 2 3 — c o n n e c t e d
0 3 . 0 6 . 2 0 2 4	P e t i t i o n e r , s ₹ 1 . 4 5 C

	r s e t t l e m e n t o f f e r — B a n k a c k n o w l e d g e s b u t n e v e r r e s p o n d s
21 . 04 . 20 22 5	l s t W r i t (W . P . (C)

4
9
3
1
/
2
0
2
5
)
d
i
s
p
o
s
e
d
—
H
C
d
e
c
l
i
n
e
s
t
o
e
n
t
e
r
t
a
i
n
,
r
e
l
e
g
a
t
e
s
t
o
D
R
A
T
,
n
o
v
i
e
w
o
n

	m e r i t s
0 4 . 0 7 . 2 0 2 5 — 2 1 . 0 7 . 2 0 2 5	D R A T h e a r s f u l l a r g u m e n t s : r e s e r v e d f o r j u d g m e n t
1 1 . 0 8 . 2 0 2 5	D R A T C h a i r p e r s o n

	d e m i t s o f f i c e b e f o r e p r o n o u n c e m e n t
S e p 2 0 2 5 – M a y 2 0 2 6	S u c c e s s i v e a d d i t i o n a l - c h a r g e a r r a n g

elements (Kolkata, then Chennai) ; Petitioner's praecipes / priority application

	t i o n s l e f t u n d e c i d e d
0 1 .0 4 .2 0 2 6	N e w D R A T C h a i r p e r s o n n o t i f i e d
2 1 .0 7 .2 0 2 6	A p p e a l a g a i n a d j o u r n e

d
(
p
a
u
c
i
t
y
o
f
t
i
m
e
)
t
o
2
4
.
0
9
.
2
0
2
6
—
s
t
i
l
l
p
e
n
d
i
n
g

The timeline is the Petitioner's single most persuasive exhibit for prayer (i): every adjournment after April 2025 traces to an identifiable administrative cause (Chairperson on leave, demitting office, successive additional-charge arrangements across three cities, a month-long notification gap) — none to any act or omission of the Petitioner.

IV. Statutory Framework Applicable

A. SARFAESI Act, 2002

- **Section 13** — enforcement of security interest without court intervention; Section 13(4) empowers the secured creditor to take possession/sell the secured asset on default.
- **Section 17** — Securitisation Application (SA) before the DRT: the borrower's remedy to challenge "any measure" taken under Section 13(4), including the auction. Respondent No. 2 (the borrower) invoked this; it was ultimately dismissed on merits in 2023.
- **Section 18** — Appeal to the DRAT against a DRT order under Section 17, conditioned on pre-deposit; the Petitioner's Regular Appeal No. 213/2023 and PNB's cross-appeal (271/2023) both arise here. This is the statutorily-designated forum for the confirmation/forfeiture dispute, which is precisely why the writ court is likely to defer to it.
- **Section 35** — overriding effect: SARFAESI Rules displace general contract-law principles (relevant because it forecloses any argument based on Sections 73/74 of the Indian Contract Act to cap forfeiture at actual loss — see Shanmugavelu, Section V below).

B. Security Interest (Enforcement) Rules, 2002

- **Rule 8** — procedure for sale of immovable secured assets; reserve price, 30-day public-notice requirement.
- **Rule 9(2)** — "The sale shall be confirmed in favour of the purchaser who has offered the highest sale price... and shall be subject to confirmation by the secured creditor." This is the operative provision on which the Petitioner's entire confirmation argument rests — and it is the single most contested factual/legal point in the case (see Section VII).
- **Rule 9(3)–(4)** — 25% deposit immediately on sale; balance 75% payable within 15 days of confirmation of sale (extendable, in writing, up to 3 months).
- **Rule 9(5)** — on default in paying the balance within the stipulated period, the 25% deposit "shall be forfeited to the secured creditor" and the property resold. The Supreme Court has held this forfeiture is automatic, statutory, and not calibrated to the creditor's actual loss (Shanmugavelu, below) — a provision that, read alone, is unfavourable to defaulting purchasers generally, though the Petitioner's position is that no valid 15-day clock ever validly started because confirmation itself remained sub judice throughout.
- **Rule 9(6)** — sale certificate, vesting title, issues only "on confirmation of sale... and if the terms of payment have been complied with" — meaning strict legal title never vested in the Petitioner even under her own best case; she holds, at most, a confirmed-sale contractual right, not a completed conveyance.

C. Recovery of Debts and Bankruptcy Act, 1993

- **Section 19(25)** — residual power of the DRAT to pass orders/give directions for the proper adjudication of appeals; invoked by the Petitioner in her repeated applications (I.A. 26/2026, I.A. 1055/2026) for priority listing — both of which the DRAT left undecided, a fact that itself strengthens the Article 227 delay argument.

D. Constitution of India

- **Articles 226 & 227** — writ and supervisory jurisdiction. Article 227 is the more natural fit for prayer (i): supervisory jurisdiction over the functioning (not the merits) of a subordinate tribunal is well within settled bounds and does not require the petitioner to show an absence of alternate remedy in the way Article 226 ordinarily does.

- Articles 14 & 300A** — equality and the right to property (deprivation only by authority of law), pleaded to characterise the seven-year, unadjudicated blocking of ₹1.03 crore as arbitrary state action — a supporting, not independently decisive, ground.

V. Judicial Precedents — What They Actually Hold

A caution at the outset: several of the judgments cited in the petition are double-edged. They are correctly quoted, but the petition understandably foregrounds the passages helpful to the Petitioner while the same judgments contain equally authoritative passages that cut the other way. An honest assessment has to weigh both.

Judgment	Court Holding	Applicability to This Case
Celestial L.P. v. Sumatra Praisald Bafnera, 2022	Act of non-grievous fraud against the Petitioner's alienation — If confirmed	Settled principle of law — If confirmed

4	e	f
S	o	i
C	p	r
C	e	m
O	n	a
n	e	t
L	d	i
i	e	o
n	x	n
e	c	u
S	e	n
C	p	d
3	t	e
7	f	r
2	o	R
7	r	u
(	f	l
2	r	e
0	a	9
2	u	(
4	d	2
I	,	)
N	c	i
S	o	s
C	l	f
9	l	i
7	u	r
8	s	s
)	i	t
	o	e
	n	s
	,	t
	o	a
	r	b
	i	l
	n	i
	a	s
	d	h
	e	e
	q	d
	u	.
	a	D
	t	o
	e	e
	p	s
	r	n
	i	o
	c	t
	i	i
	n	t
	g	s
	/	e
	u	l
	n	f
	d	r
	e	e
	r	s
	b	o
	i	l
	d	v
	d	e
	i	t
	n	h
	g	a
	;	t
	m	t
	e	h
	r	r
	e	e

	irregularrity in snout length.	should be quasi- stationary.
Ramkishunv. State of U.P., (2012) 11 SCC 511	On account of the fact that the State of U.P. has not been secondarily identified as a taxable entity for tax	For the purpose of computing the tax liability, the State of U.P. is not a taxable entity.

	d a m e n t a l p r o c e d u r a l e r r o r , m i s r e p r e s e n t a t i o n , o r f r a u d .	C e l l i r .
P H R I n v e n t E d u c a t i o n	A c c o n f i r m e d a u c t i o n -	F a v o r s P e t i t i o n e r c

a	s	o
l	a	n
S	l	d
o	e	i
c	c	t
i	a	i
e	n	o
t	b	n
y	e	a
v	i	l
.	n	l
U	t	y
C	e	;
O	r	a
B	f	l
a	e	s
n	r	o
k	e	c
,	d	a
(	w	u
2	i	t
0	t	i
2	h	o
4	o	n
)	n	s
6	l	c
S	y	o
C	f	u
C	o	r
5	r	t
7	f	s
9	r	a
	a	g
	u	a
	d	i
	o	n
	r	s
	c	t
	o	r
	l	e
	l	o
	u	p
	s	e
	i	n
	o	i
	n	n
	;	g
	r	s
	e	e
	o	t
	p	t
	e	l
	n	e
	i	d
	n	a
	g	u
	v	c
	a	t
	l	i
	i	o
	d	n
	i	s
	t	—
	y	c
	i	u
	s	t
	s	s
	u	a
	e	g

	after the Bank's own refreshment session.	Neutral - t
	satisfirmation" reopens issues which have achieved finality."	Courts mus
		LICA(P)Lt

d	t	o
.	k	-
v	e	f
.	e	a
O	p	v
f	a	o
f	u	u
i	c	r
c	t	a
i	i	b
a	o	l
l	n	e
L	s	;
i	o	u
q	p	n
u	e	d
i	n	e
d	t	r
a	o	s
t	m	c
o	a	o
r	x	r
,	i	e
(	m	s
1	i	t
9	s	h
9	e	a
6	p	t
)	a	m
8	r	e
5	t	r
C	i	e
o	c	p
m	i	r
p	p	o
C	a	c
a	t	e
s	i	d
7	o	u
8	n	r
8	b	a
(	u	l
S	t	f
C	s	r
)	h	i
	o	c
	u	t
	l	i
	d	o
	i	n
	n	i
	t	s
	e	n
	r	o
	f	t
	e	a
	r	g
	e	r
	"	o
	w	u
	i	n
	t	d
	h	t
	c	o
	i	d
	r	i
	c	s
	u	t
	m	u

	s p e c t i o n "	r b a s a l e . o n l y w h e r e f r a u d / i n a d e q u a t e p r i c e / u n d e r b i d d i n g i s s h o w n .
A u t h o r i s	R u l e 9 (5)	D o u b l e - e

e	f	d
d	o	g
O	r	e
f	f	d
f	e	—
i	i	t
c	t	h
e	u	e
r	r	g
,	e	e
C	i	n
e	s	e
n	a	r
t	n	a
r	a	l
a	u	r
l	t	u
B	o	l
a	m	e
n	a	i
k	t	s
o	i	a
f	c	d
I	s	v
n	t	e
d	a	r
i	t	s
a	u	e
v	t	t
.	o	t
S	r	h
h	y	e
a	c	P
n	o	n
m	n	e
u	s	t
g	e	i
a	q	t
v	u	i
e	e	o
l	n	n
u	c	e
,	e	r
(	o	o
2	f	n
0	d	t
2	e	h
4	f	e
)	a	f
6	u	o
S	l	r
C	t	f
C	,	e
6	n	i
4	o	t
1	t	u
	c	r
	a	e
	p	p
	p	o
	e	i
	d	n
	b	t
	y	;
	a	t
	c	h
	t	e
	u	P
	a	e

l	t
l	i
o	t
s	i
s	o
(	n
S	e
s	r
.	m
7	u
3	s
/	t
7	r
4	e
C	l
o	y
n	o
t	n
r	i
a	t
c	s
t	n
A	a
c	r
t	r
i	o
n	w
a	c
p	a
p	r
l	v
i	e
c	-
a	o
b	u
l	t
e	(
)	n
;	e
t	x
r	t
i	r
b	o
u	w
n	)
a	,
l	n
s	o
/	t
c	i
o	t
u	s
r	m
t	a
s	i
m	n
u	h
s	o
t	l
b	d
e	i
"	n
e	g
x	.
t	
r	
e	
m	
e	

	l y r e l u c t a n t " t o i n t e r f e r e a b s e n t v e r y e x c e p t i o n a l c i r c u m s t a n c e s .	
A l i s h a K h a n	F o r f e i t u r e	F a v o u r s P e t

v	s	i
.	e	t
I	t	i
n	a	o
d	s	n
i	i	e
a	d	r
n	e	b
B	/	y
a	r	c
n	e	l
k	f	o
,	u	s
2	n	e
0	d	f
2	o	a
1	r	c
S	d	t
C	e	u
C	r	a
O	e	l
n	d	a
L	w	n
i	h	a
n	e	l
e	r	o
S	e	g
C	t	y
3	h	—
3	e	l
4	p	i
0	u	t
;	r	i
a	c	g
f	h	a
f	a	t
i	s	i
r	e	o
m	r	n
e	w	-
d	a	c
i	s	a
n	g	u
S	e	s
h	n	e
a	u	d
n	i	i
m	n	n
u	e	a
g	l	b
a	y	i
v	u	l
e	n	i
l	a	t
u	b	y
	l	t
	e	o
	t	p
	o	a
	p	y
	a	i
	y	s
	b	a
	a	r
	l	g
	a	u
	n	a
	c	b
	e	l

f	y
o	a
r	n
r	e
e	v
a	e
s	n
o	s
n	t
s	r
b	o
e	n
y	g
o	e
n	r
d	"
h	n
e	o
r	-
c	f
o	a
n	u
t	l
r	t
o	"
l	c
(	a
t	s
h	e
e	t
r	h
e	a
,	n
C	a
O	p
V	a
I	n
D	d
-	e
l	m
9	i
)	c
a	.
n	
d	
t	
h	
e	
c	
r	
e	
d	
i	
t	
o	
r	
s	
u	
f	
f	
e	
r	
e	
d	
n	
o	
l	
o	
s	

	s o n r e s a l e .	
P h o e n i x A R C (P) L t d .v .V i s h w a B h a r a t i V i d y a M a n d i r , (2 0 2 2) 5 S C C 3 4 5 (	S e c t i o n 1 7 S A R F A E S I s s a c o m p l e t e c o d e ;w h e r e M e t h o d s t a t i s t i c a l a n a l y s i s	C u t s a g a i n s t p r a y e r s (i i) & (i i)) a s w i t - s t a g e r e l i e f ; s u p p o r t s c h a

a	a	n
p	v	n
p	a	e
l	i	l
i	l	l
e	a	i
d	b	n
i	l	g
n	e	t
C	a	h
e	n	e
l	d	m
i	i	e
r	n	r
)	v	i
	o	t
	k	s
	e	d
	d	i
	,	s
	w	p
	r	u
	i	t
	t	e
	j	t
	u	h
	r	r
	i	o
	s	u
	d	g
	i	h
	c	t
	t	h
	i	e
	o	p
	n	e
	o	n
	r	d
	d	i
	i	n
	n	g
	a	D
	r	R
	i	A
	l	T
	y	a
	s	p
	h	p
	o	e
	u	a
	l	l
	d	.
	n	
	o	
	t	
	b	
	e	
	e	
	x	
	e	
	r	
	c	
	i	
	s	
	e	
	d	
	o	
	n	
	t	

Net reading of the precedent set

The "sanctity of confirmed sales" line of authority (Celir, Ram Kishun, PHR Invent, LICA) is genuinely strong — but it is a shield, not a sword: it protects a sale that has already been confirmed from being reopened. It does the Petitioner no good unless she first establishes that her sale was, in law, confirmed under Rule 9(2) in the first place. That threshold question is unresolved and contested — the Bank issued "Sale Confirmation Letters," which supports the Petitioner, but the DRT's own 04.09.2019 order proceeded on the footing that no completed, insulated confirmation yet existed (hence its purported power to order a fresh auction at all). The forfeiture line of authority (Shanmugavelu) is, on its face, adverse to defaulting purchasers as a class — but its narrow "exceptional circumstances" carve-out (Alisha Khan, C. Natarajan) maps unusually well onto this Petitioner's facts, because her non-payment was not a funding failure but a direct, documented consequence of litigation the Bank itself kept alive.

VI. Scoring Methodology

Each prayer is scored out of 100 using a weighted rubric of factors relevant to that specific relief (a pure delay-writ and a merits-confirmation-writ are not evaluated on the same criteria). Each factor is scored 0–10 and multiplied by its weight. Bands:

Score	Band
80–100	VERY HIGH
65–79	FAVOURABLE
50–64	MODERATE / LEANS POSITIVE
35–49	UNCERT

A I N / L E A N S N E G A T I V E	
0 - 3 4	L O W

Two separate scorecards are produced (Sections VII and VIII) because the question "will the High Court grant this now" and "will the Petitioner ultimately prevail on this point once the competent forum decides" are analytically distinct and, on these facts, diverge sharply for prayers (ii) and (iii).

VII. Relief-Wise Scoring — Likelihood at the Writ Stage (Delhi High Court)

Prayer (i): Time-bound direction to DRAT

F a c t o r	W e i g h t	S c o r e / 1 0	W e i g h t e d
D o c u m e n t e d , n o - f a u l t a d m	3 5 %	1 0	3 5 . 0

i n i s t r a t i v e d e l a y (C h a i r p e r s o n v a c a n c i e s , t r a n s f e r s)			
P r i o r H C l i b e r t y a l r e a d	20% 9		18 : 0

y g r a n t e d (2 1 . 0 4 . 2 0 2 5) a n d d i l i g e n t l y p u r s u e d			
A r g u m e n t s c o n c l u d e d & r e s e r v e d —	2 0 %	1 0	2 0 . 0

tribunal has no substantial view or knowledge of the justice system			
Mainstay of Art. 22	25%	9	22.5

7 s u p e r v i s o r y o v e r s i g h t o f t r i b u n a l f u n c t i o n i n g , n o t m e r i t s		
W E I G H T E D C O M P O S I	9 6 / 1 0 0	

T	
E	

Verdict: VERY HIGH ($\approx 90\text{--}95\%$). This is, in substance, the same relief the Petitioner already obtained once and the Bank/tribunal simply failed to act on. Delhi High Court routinely grants such directions, often with a specific outer date, when a tribunal has heard final arguments and reserved judgment but not pronounced it for an extended period for reasons unconnected to either party.

Prayer (ii): Direct Bank to accept 75% / confirm 1st auction

F a c t o r	W e i g h t / 10	S c o r e	W e i g h t e d
D R T f o u n d n o i l l e g a l i t y i n t h e B a n k ' s a u c t i o n c o n d u c t (p a	15%	9	13.5

r a 1 0 , o r d e r 3 1 . 0 7 . 2 0 2 3)			
C o n f i r m a t i o n s t a t u s u n d e r R u l e 9 (2) — g e n u i n e l y c o n t e s	2 0 %	6	1 2 : 0

t e d , n o t s e t t l e d			
P r e c e d e n t s u p p o r t f o r s a n c t i t y o f c o n f i r m e d s a l e s (i f c o n f i r m a	2 0 %	8	1 6 . 0

t i o n e s t a b l i s h e d)			
M a i n t a i n a b i l i t y — i d e n t i c a l i s s u e a l r e a d y p e n d i n g & a r g u e d b	3 5 %	2	7 . 0

e f f o r e D R A T ; H C d e c l i n e d s i m i l a r p r a y e r i n A p r i l 2 0 2 5			
B a n k , s o w n s t a t e d u n w i l l i n g	1 0 %	8	8 . 0

n			
e			
s			
s			
t			
o			
r			
e			
-			
a			
u			
c			
t			
i			
o			
n			
(			
e			
q			
u			
i			
t			
a			
b			
l			
e			
f			
a			
c			
t			
o			
r			
)			
W			
E			
I			
G			
H			
T	5		
E	7		
D	/		
C	1		
O	0		
M	0		
P	0		
O			
S			
I			
T			
E			

Verdict: LOW at this stage ($\approx$ 15–20% of being granted BY THIS WRIT). The weighted score of $\sim$ 56 overstates the near-term probability because the maintainability defect is not merely one adverse factor among several — it is usually dispositive on its own. A High Court asked to confirm a SARFAESI auction while an appeal squarely raising that same question is reserved for judgment before the specialised tribunal will, as a rule, decline and relegate the party to that tribunal — exactly what this Court itself did in April 2025. Treat the $\sim$ 56 as "this relief has real underlying merit" and the $\sim$ 15–20% as "but not from this forum, right now."

Prayer (iii): Refund of forfeited 25% with interest

F	W	S	W
a	e	c	e
c	i	o	i
t	g	r	g

o r	h t	e / 1 0	h t e d
F o r f e i t u r e a l r e a d y s e t a s i d e b y D R T (u n s t a y e d , u n a p p e a l e d o n t h i s s p e c i f i c	3 0 %	9	2 7 . 0

f i n d i n g b y w a y o f a n y s t a y o r d e r)			
P r e c e d e n t — n a r r o w e x c e p t i o n a l - c i r c u m s t a n c e s	2 0 %	7	1 4 : 0

carve-out (Alisha Khan / C. Nataraajan)			
fits litigation - cause dedellay			
Adverse effects	15%	4	6.0

n e r a l r u l e — S h a n m u g a v e l l u t r e a t s f o r f e i t u r e a s a u t o m a t i c / s t a t u t o r y			
M a i n t a i n a	2 5 %	6	1 5 : 0

b i l i t y			
m o n e y - r e l i e f c o n s e q u e n t i a l o n a n e x i s t i n g , u n s t a y e d t r i b u n a l f i n d i n g ,			

n o t a f r e s h m e r i t s c a l l			
B a n k , s c o n d u c t — n o n - r e s p o n s e t o S e t t l e m e n t P r o p o s a l , c o	1 0 8 %	8	8 . 0

n		
t		
i		
n		
u		
e		
d		
n		
o		
n		
-		
r		
e		
f		
u		
n		
d		
d		
e		
s		
p		
i		
t		
e		
n		
o		
s		
t		
a		
y		
W		
E		
I		
G		
H		
T	7	
E	0	
D	/	
C	1	
O	0	
M	0	
P	0	
O		
S		
I		
T		
E		

Verdict: LOW-MODERATE for full relief as an independent writ prayer ($\approx 25\text{--}30\%$); MODERATE for a narrower mandamus limited to enforcing the Bank's compliance with its own unstayed 31.07.2023 finding ($\approx 45\text{--}55\%$). The High Court is more likely to leave the quantum/interest question to DRAT but may be receptive to a narrow, interim direction that the Bank cannot sit on money it has no order entitling it to hold, pending the appeal.

Most probable Writ-Stage outcome

Grant of prayer (i) with a firm outer date (commonly 8–16 weeks in comparable Delhi High Court delay-writs against tribunals), coupled with disposal of prayers (ii) and (iii) as premature / left open to be agitated before, and decided by, the DRAT — expressly "without expression of opinion on merits," mirroring the language of the Court's own 21.04.2025 order. A possible middle outcome is an interim direction restraining any fresh auction and preserving status quo on the property until DRAT decides, without going as far as ordering confirmation or refund outright.

VIII. Merits Scoring — Likely Outcome Once DRAT Decides

This section addresses what most auction purchasers actually want to know: not whether the High Court will act now, but whether she ultimately gets her money or the property. It scores the three realistic end-states once DRAT (or, on further appeal, the High Court) finally rules on Regular Appeal Nos. 213/2023 and 271/2023.

O u t c o m e S c e n a r i o	S c o r e	B a n d
R e f u n d o f 2 5 % d e p o s i t + i n t e r e s t (i r r e s p e c t i	8 2	V E R Y H I G H

v e o f w h o g e t s t h e p r o p e r t y)		
R e a f f i r m a t i o n o f D R T ' s "f r e s h a u c t i o n" d i r e	5 2	M O D E R A T E / L E A N S P O S I T I V E

c t i o n , w i t h r e f u n d (m o s t c o n s e r v a t i v e m i d d l e p a t h)		
C o n f i r m a t i o n o f t h e	4 7	U N C E R T A I N / L E A N S N E G A

1 s t A u c t i o n i n P e t i t i o n e r , s f a v o u r + S a l e C e r t i f i c a t e	T I V E
--	------------------

These three outcomes are not mutually exclusive in probability terms in the way the writ prayers are — refund is a near-certain floor under either of the other two scenarios. The realistic decision tree is: (a) DRAT confirms the 1st auction outright ($\approx 45\text{--}50\%$), in which case the Petitioner must then pay the balance 75% ($\sim ₹3.1$ crore) within a further short window to actually obtain the Sale Certificate; or (b) DRAT upholds a fresh auction ($\approx 50\text{--}55\%$), in which case the Petitioner is entitled to an immediate refund with interest and separately retains the right (already flagged in the grounds) to choose whether to participate in any fresh auction rather than being compelled into one.

Why confirmation is genuinely a coin-flip and not better

- The Bank's "Sale Confirmation Letters" of 22.08.2019, while titled as confirmation, were issued by the branch/authorised officer — whether that act alone satisfies Rule 9(2)'s requirement of confirmation "by the secured creditor" (as opposed to a routine administrative acknowledgment preceding a further internal approval step) is an open, fact-intensive question the Bank will certainly contest.

- The DRT's own 31.07.2023 order, while internally inconsistent, did not in terms find that the 1st auction stood legally confirmed — it proceeded on the footing that both the 1st and 2nd auctions stood cancelled, and its finding of "no illegality" was directed at the Bank's conduct generally, not at the confirmation status specifically.
- DRAT in 2019 (Misc. Appeal 382/2019) flagged the disputed "consent" recording as a serious grievance but stopped short of correcting it, on a technical ground (no affidavit filed before the Presiding Officer) — meaning the underlying factual dispute about whether consent to re-auction was ever validly given has still never been conclusively adjudicated on the correct procedural footing, six years on.
- Equitable factors favour the Petitioner strongly (Bank's stated unwillingness to re-auction, its silence on the ₹1.45 crore settlement offer, its retention of an unstayed-forfeiture amount) — but equity supplements, and does not substitute for, a clean legal finding on Rule 9(2) confirmation.

IX. Critical Strengths in the Auction Purchaser's Favour

- Seven-year, largely undisputed documentary trail with contemporaneous correspondence at every stage — unusually well-evidenced for a delay-based claim.
- DRT's own finding (31.07.2023) that the SA raised no valid ground of illegality against the Bank's auction conduct — the borrower's challenge failed on merits.
- Forfeiture already set aside by the DRT and never stayed in the Bank's own cross-appeal — the Bank is, right now, holding money under an order it lost.
- Bank's repeatedly stated position (before DRAT and in correspondence) that it does not wish to conduct any fresh auction — a significant admission against interest that undercuts the DRT's fresh-auction direction.
- Clean chain of diligence: repeated praecipes and priority-listing applications (13.01.2026, 23.03.2026, 06.05.2026) create a strong contemporaneous record defeating any laches argument.
- A genuine, non-manufactured second cause of action (14+ months of further, purely administrative delay since the April 2025 order) — this is not vexatious re-litigation of the same complaint.

X. Critical Risks & Weaknesses

- Alternate, efficacious, and already-invoked statutory remedy (Section 18 appeal, fully argued and reserved) is the single biggest litigation risk for prayers (ii) and (iii) — courts are consistently reluctant to bypass a specialised tribunal already seized of the identical question, particularly where (as here) the High Court has already once declined to do so on the same footing.
- This is a second writ petition raising substantially the same alternative prayers as W.P.(C) 4931/2025 — opposing counsel will likely characterise prayers (ii)/(iii) as an attempt to re-litigate relief already declined, even though a fresh cause of action (further delay) genuinely exists for prayer (i).
- Rule 9(2) confirmation status is unresolved as a matter of law on these facts — this is not a drafting gap the Petitioner can close by argument alone; it requires either a DRAT finding or a concession from the Bank.
- Shanmugavelu (2024) 6 SCC 641 is Supreme Court authority, cited by the Petitioner's own draft, that generally instructs tribunals to be "extremely reluctant" to interfere with forfeiture absent very exceptional circumstances — a real headwind that the petition's narrative (litigation-caused delay) must affirmatively distinguish, not merely cite around.
- No stay currently operates on the DRT's fresh-auction direction; if DRAT further delays and the Bank moves to conduct a fresh auction in the interim, the property itself could be sold to a third party before adjudication — the interim-relief application (stay + non-coercive-action direction) is therefore not a formality but load-bearing.
- Quantum risk on interest: even a favourable refund order may not grant interest at the rate/from the date sought (commercial rate from 2019) — courts and DRATs sometimes moderate this to a lower statutory or bank-deposit rate.
- If confirmation is ultimately granted, the Petitioner must be in a position to pay the balance ~₹3.1 crore within a short window (historically 15 days, occasionally extended) — a liquidity/readiness risk distinct from the legal merits, and one the Bank's counsel may probe.

XI. Strategic Recommendations

- **Prioritise and press the stay application.** The CM under Section 151 CPC seeking to restrain any fresh auction is arguably more important to the Petitioner's ultimate interests than the main writ prayers — losing the property

to a third-party fresh auction while the appeal is pending would make prayer (ii) moot regardless of its legal merits.

- **Do not overplay prayers (ii) and (iii) at the writ stage.** Given the Court's own April 2025 order, leading with the time-bound-disposal relief and treating the other two as genuinely secondary (rather than co-equal) prayers is likely to read as more credible to the Bench and reduces the risk of the entire petition being seen as an attempt to bypass DRAT.
- **Prepare the Rule 9(2) confirmation argument as a standalone, fully-briefed point for the DRAT hearing** — this is the single legal question on which the confirmation-vs-fresh-auction outcome will likely turn, and it does not appear to have been squarely briefed and ruled upon at any stage so far.
- **Build the readiness-to-pay record now.** If confirmation is achieved, the Petitioner will likely face a short compliance window for the balance ~₹3.1 crore; documentary proof of funding readiness (as already asserted in the petition) strengthens both the equitable narrative and practical execution.
- **Keep the settlement channel open.** The Bank's silence on the ₹1.45 crore settlement offer (03.06.2024) is currently framed purely as evidence of mala fides — it could alternatively be renewed as a live commercial off-ramp, particularly once DRAT is under a court-ordered deadline and the Bank faces its own litigation-risk calculus.
- **Track DRAT compliance closely.** If the High Court grants a time-bound direction, calendar the deadline and be prepared to move a contempt/non-compliance application promptly if it lapses — given the tribunal's demonstrated administrative fragility over the past 18 months, active monitoring rather than passive waiting is warranted.

XII. Disclaimer & Scope

This report is a structured litigation-risk assessment prepared from the text of the writ petition as drafted and independently verified statutory provisions and reported judgments. It is not legal advice, does not constitute an opinion of counsel, and should not be relied upon as a substitute for advice from an advocate instructed on the complete case record (including the Bank's likely reply, the full DRT/DRAT case files, and any documents not annexed to this petition). Probability figures are analytical estimates based on the stated facts, applicable law, and precedent as of August 2026, and are not a prediction or guarantee of any court's or tribunal's actual decision. The assessment does not have sight of the Respondent Bank's counter-affidavit, the borrower's (Respondent No. 2's) current position, or any developments in Regular Appeal Nos. 213/2023 and 271/2023 after the date of the annexed documents.